Sambhv Steel Tubes Ltd

Concall tracker, filed under Q2 2027 | NSE: SAMBHV, BSE: 544430 | builds on the Q1-2027 report; 6 earnings calls in all, Jul 2025 to Oct 2026

1. Snapshot

Sambhv makes steel pipes and tubes in Chhattisgarh: plain and galvanised mild-steel (ERW) pipes, coated products and stainless-steel pipes and coil. It's backward integrated: it makes its own sponge iron, billets and most of its own coil, so it earns more per ton than a pipe maker that buys steel and bends it. Sales are almost all within India, to construction, water, infrastructure and industry.

Number	Value	Plain read
Market value	₹4,864 cr (price ₹165)	Up from ₹3,771 cr at the last report. About 25 times last-year profit.
Q2 FY27 sales	₹836-840 cr, up 44% on last year	A new record, even in the monsoon quarter, which is usually the weakest for steel.
Q2 FY27 operating profit	₹101-105 cr, margin about 12%	A touch below Q1's 13%, which management calls a one-off high from war-time steel prices.
Q2 FY27 net profit	₹61 cr	About double the ₹30 cr of a year ago.
Operating cash flow, Q2	₹213 cr	Strong cash in a single quarter, useful while it borrows for the new plant.
Borrowings	₹563 cr (Sep 2026)	Rising as planned for the Kesda plant; net debt about one year of operating profit, guided to 1.4-1.5 times by year-end.

2. Concall coverage

Quarter	Call date	Read?
Q1 FY26 to Q4 FY26 (4 calls)	Jul 2025 to May 2026	Carried forward from the Q1-2027 report
Q1 FY27 (prior boundary)	4 Aug 2026	Covered by the Q1-2027 report
Q2 FY27	30 Oct 2026	Newly deep-read in full ★

Only the new call was read in full this quarter; the backstory comes from the prior report. The company listed in June 2025, so six calls is its full public record.

Latest concall highlights, Q2 FY27 (30 Oct 2026)

- Record sales of about ₹840 cr and profit of ₹61 cr, with value-added volumes up 27% on last year.
- Operating profit per ton slipped to about ₹8,200 from ₹8,800 in Q1. Reasons given: monsoon moisture raising raw-material use, cheap Chinese stainless coil after India relaxed its quality-control import rules, and Q1 being an outlier. Mild-steel pipe margins actually rose.
- New project: ₹148 cr stainless-steel seamless pipe plant (14,400 tons a year), with PLI incentive approval. Production is about 18 months away; first sales to the replacement and trader market.
- Guidance restated: FY27 volume about 5.5 lakh tons including Kesda; FY28 above 7 lakh tons and operating profit above ₹750 cr. Kesda plant live by March 2027.
- Tone: confident, open about the margin dip and what caused it. ₹25 cr of the promoter warrant money is in.

Business mix & capacity. Domestic vs export: almost all domestic; no export share disclosed. Capacity: finished-product capacity about 0.6-0.68 million tons a year now, targeted above 2 million tons by 2030. Kesda (3.6 lakh tons) starts March 2027 at about 30-35% use in year one, 60-65% by FY29. A DFT pipe mill lifts pipe-making capacity from 3.5 to 5 lakh tons. Utilisation percentage for current plants not disclosed.

Since our last report (builds on the Q1-2027 report, call of 4 Aug 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What the new call shows	Movement
Trigger	Funded, dated capacity and mix plan already in the numbers	Record quarter, value-added volume up 27%, new seamless line added	Confirmed
Consistency	Guidance given and beaten; dates held	Kesda still March 2027; FY28 targets restated, not cut	Confirmed
Kesda and Kuthrel Unit 2 in Q4 FY27	Same date since the maiden call	"On track for on-time commissioning"	On-track
Per-ton margin	Running well above the ₹8,000 promise	About ₹8,200; dipped from Q1 on stainless pricing	Slipping (slightly)
₹100 cr promoter warrants	Promised, not yet received	₹25 cr received	Improving
Power and DFT cost projects	Due through FY27	DFT mill and captive power still in progress	On-track

The prior report had no checkpoints box. Verdict change this quarter: both unchanged.

3. Earning trigger thesis

The driver is still capacity plus mix. Kesda adds 3.6 lakh tons from March 2027, the DFT mill adds pipe capacity, and the business keeps moving toward value-added and stainless products. Backward integration showed its worth this quarter: while the market was short of coil, Sambhv makes over 80% of its own. The new seamless stainless pipe plant is a longer bet for FY29-FY30. The risk is the stainless side, where Chinese coil is pulling prices down until the government acts.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Kesda greenfield	Live March 2027	On track, same date since Jul 2025	Q4 FY27 to FY29	Strong	Unchanged
Value-added mix	More stainless and coated	Value-added volume up 27%	Now	Strong	Unchanged
Stainless margins	₹12,000-13,000 a ton is sustainable	Squeezed by Chinese imports	Now	Moderate	↓ weaker, import rules relaxed
Seamless stainless pipe	₹148 cr, 14,400 tons, PLI approved	Land and machines being finalised	FY29-FY30	Unproven	New

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt rises with Kesda; net debt to operating profit to 1.4-1.5 times (Oct 2026).
New business	Yes	"We are now entering high-growth, high-margin business of stainless-steel seamless pipes and tubes" (Oct 2026).
Margin up	No	Per-ton profit dipped from Q1; captive power targets margin gains by 2030.
New management	No	Same team.
New capacity	Yes	"Our expansion at Kesda and Sarora is on track for on-time commissioning"; Kesda live March 2027 (Oct 2026).
Big orders	No	Not an order-book business.

Turnaround	No	Not applicable.
Promoter buying	Yes	"We just received our warrant proceeds of INR25 crores" (Oct 2026), part of the promoter warrant issue.

Single concrete driver: the Kesda greenfield plant starting in March 2027, on top of a steady shift toward value-added and stainless pipe made from its own steel.

3c. Margin bridge

Margin is about 12% now against about 10% a year ago and 13% last quarter. The year-on-year gain came from the value-added mix and owning its coil supply. The dip from Q1 came from monsoon raw-material yields and Chinese stainless coil cutting prices; management calls Q1 the outlier and Q2 the sustainable level (lasting).

4. Management consistency scorecard

Period	What was promised	What happened	Verdict
Jul 2025	Operating margin about 12%	11% in FY26, 13% Q1 FY27, 12% Q2 FY27	Delivered
Jul 2025	Phase 1 (Kesda, Kuthrel Unit 2) by end FY27	Still March 2027, unchanged	On track
FY26	Double stainless capacity	Done, consent to operate in hand	Delivered
Aug 2026	₹100 cr promoter warrants	₹25 cr received	Partly (on track)
Oct 2026	FY27 volume ~5.5 lakh tons; FY28 operating profit above ₹750 cr	H1 on a strong run	Too early

Narrative drift: none. The plan has grown (now a seamless pipe line on top) but nothing promised has been pushed back. The one new worry is outside its control: stainless import rules.

5. Bottom line

Durable earning trigger? YES vs last quarter: unchanged

Nothing moved it down: record quarter, Kesda dated and on track. The stainless squeeze is the one soft spot.

Management consistent? YES vs last quarter: unchanged

Six calls, dates held, targets restated rather than cut, and a straight explanation for the margin dip. The record is still short and hasn't seen a steel downturn.

6. Checkpoints for next quarter

- Kesda plant still on schedule to start by March 2027
- Operating profit per ton holds near the Q2 level
- Rest of the promoter warrant money comes in

Not investment advice. Sources: Q2 FY27 earnings call transcript (30 Oct 2026) via Screener.in; earlier calls via the Q1-2027 report; financials from Screener.in. Management's figures and Screener's differ slightly on reporting basis.